Illustrative Group

Consolidated income statement for the year ended 31 December 2025

USD thousands

	2025
Revenue	22,124
Cost of sales	(13,060)
Gross profit	**9,064**
Operating expenses	(4,922)
Operating profit	**4,142**
Share of profit of associates (equity method)	260
Dividend income from associates (eliminated)	-
Interest expense	(373)
Profit before tax	**4,029**
Income tax expense	(853)
Profit for the year	**3,176**
Attributable to owners of the parent	3,083
Attributable to non-controlling interests	94

Unrealised profit is eliminated in full against the seller (Sub One, 100% owned), so it has no NCI effect.

Share of profit of associates is after tax and after the impairment loss (see the Associates sheet). The group's share of unrealised profit on sales to associates is charged to cost of sales.

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Consolidated balance sheet at 31 December 2025

USD thousands

	2025
Goodwill	500
Property, plant and equipment	10,444
Investments in associates (equity method)	1,839
Total non-current assets	**12,783**
Inventory	2,690
Trade receivables	3,756
Intercompany receivable (eliminated)	-
Cash	2,364
Total current assets	**8,810**
Total assets	**21,592**
Share capital	5,000
Retained earnings	6,733
Translation reserve	(25)
Equity attributable to owners of the parent	**11,709**
Non-controlling interests	400
Total equity	**12,108**
Borrowings	6,648
Trade payables	2,836
Intercompany payable (eliminated)	-
Total liabilities	**9,484**
Total equity and liabilities	**21,592**
Check: assets less equity and liabilities	-

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How each entity is treated under IFRS

Group structure and accounting basis

Entity	Relationship	Ownership	Standards	Method	How it is treated in this workbook
Parent Co.	Parent and reporting entity		IFRS 10, IAS 1	Prepares the consolidated statements	Combined in full. Functional and presentation currency USD.
Subsidiary One (US)	Subsidiary: 100% of the voting rights gives control	100%	IFRS 10, IFRS 3	Full consolidation (acquisition method)	Combined line by line. The investment is eliminated against share capital and pre-acquisition reserves; any excess of cost is goodwill.
Subsidiary Two (Germany)	Subsidiary: 80% of the voting rights (a majority) gives control	80%	IFRS 10, IFRS 3, IAS 21	Full consolidation (acquisition method) with NCI	Translated from EUR to USD first. Combined line by line. The investment is eliminated against share capital and pre-acquisition reserves; any excess of cost is goodwill. The other 20% is a non-controlling interest, shown in equity, with its share of profit and translation differences.
Associate One (UAE)	Associate: 30% of the voting rights: presumed significant influence, not control	30%	IAS 28, IAS 21	Equity method	Not combined line by line. One line on the balance sheet (investment at cost plus share of post-acquisition profits, less dividends received) and one line in the income statement (share of profit). Goodwill stays inside the investment. Only the group's share of unrealised profit on trading with the associate is eliminated. Its results are translated from AED.
Associate Two (US)	Associate: 25% of the voting rights: presumed significant influence, not control	25%	IAS 28, IAS 36	Equity method	Not combined line by line. One line on the balance sheet (investment at cost plus share of post-acquisition profits, less dividends received) and one line in the income statement (share of profit). Goodwill stays inside the investment. Only the group's share of unrealised profit on trading with the associate is eliminated. The whole investment was tested for impairment under IAS 36 and written down.

Consolidation procedures and IFRS references

Step	IFRS reference	What the workbook does
1. Control (subsidiaries)	IFRS 10.6-7, B35	An investor controls an investee when it has power over it, is exposed to variable returns from it and can use its power to affect those returns. Both subsidiaries are controlled through a majority of the voting rights, so they are consolidated from the date control was obtained.
2. Significant influence (associates)	IAS 28.3, 28.5-6	Significant influence is the power to take part in financial and operating policy decisions without control. A holding of 20% or more of the voting power is presumed to give it, and board representation is typical evidence. Both associates are held at 25% to 30%.
3. Uniform policies and reporting date	IFRS 10.B87, B92-B93; IAS 28.33-36	All entities use the group's IFRS accounting policies and a 31 December year end, so no alignment adjustments are needed. A different year end would need adjusting for significant transactions and may differ by no more than three months.
4. Foreign currency translation	IAS 21.39-41, 21.44; IAS 28.10	Subsidiary Two (EUR) is translated into USD: assets and liabilities at the closing rate, income and expenses at the average rate (an approximation of transaction-date rates) and share capital at the historical rate. The difference goes to the translation reserve in other comprehensive income, and the NCI's share is allocated to NCI. Associate One reports in AED, which is pegged to the USD, so no exchange difference arises; for a floating currency it would also go to the translation reserve.
5. Combine line by line (subsidiaries only)	IFRS 10.B86(a)	The assets, liabilities, income and expenses of the parent and its subsidiaries are added together in full, even where the group owns less than 100%.
6. Eliminate the investment; goodwill	IFRS 10.B86(b); IFRS 3.32; IAS 36.90	The parent's investment in each subsidiary is offset against its share of the subsidiary's equity at acquisition. Any excess is goodwill, which is not amortised but tested for impairment at least every year.
7. Non-controlling interests	IFRS 3.19; IFRS 10.22, B94	NCI is measured at its proportionate share of the subsidiary's identifiable net assets (the IFRS 3 choice made here, so no goodwill is attributed to NCI). It is shown in equity, separately from the parent's equity, and receives its share of profit and of translation differences.
8. Intragroup transactions	IFRS 10.B86(c)	Intragroup balances, sales, purchases and unrealised profit in closing inventory are eliminated in full. The unrealised profit is charged to the selling entity; the seller is 100% owned, so NCI is not affected.
9. Equity method (associates)	IAS 28.10, 28.16	An associate is not combined line by line. The investment is recognised at cost and then increased or decreased by the group's share of the associate's profit or loss after acquisition. Dividends received reduce the carrying amount instead of being income, so the parent's dividend income is reversed.
10. Goodwill on associates	IAS 28.32, 28.42	The excess of cost over the group's share of the associate's net assets is included in the carrying amount of the investment. It is not shown separately, not amortised and not tested for impairment on its own.
11. Transactions with associates	IAS 28.28-29	Only the group's share of unrealised profit on sales between the group and an associate is eliminated. For a sale to the associate (downstream) it reduces the investment; for a purchase from the associate (upstream) it reduces group inventory. Balances with associates are not eliminated, because associates are outside the group.
12. Impairment of associates	IAS 28.40-43; IAS 36	After applying the equity method, the group checks for objective evidence of impairment. If there is, the whole carrying amount is tested as a single asset under IAS 36 and any loss reduces the investment. Associate Two carries an impairment loss.
13. Losses of associates	IAS 28.38-39	If the group's share of losses equals or exceeds its interest, it stops recognising further losses unless it has an obligation to fund them. Not triggered here.
14. Presentation	IAS 1.54(e), 1.82(c), 1.81B; IFRS 10.22	Investments in associates and the share of their profit are separate line items. Profit and equity are split between owners of the parent and NCI.
15. Disclosure	IFRS 12.21, B12-B14	Summarised financial information for each material associate and a reconciliation to its carrying amount (shown on the Associates sheet).
16. IFRS 18 (from 2027)	IFRS 18	IFRS 18 replaces IAS 1 for periods beginning on or after 1 January 2027. The share of profit of associates will then sit in the investing category, outside operating profit, as it already does in this income statement. These 2025 statements follow IAS 1.

Paragraph references are to the IFRS Accounting Standards as issued by the IASB.

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Consolidation worksheet (debit +, credit -)

USD thousands

Code	Account	PARENT (USD)	SUB1 (USD)	SUB2 (USD)	Aggregate	Eliminations	Consolidated
1000	Cash	1,332	600	432	2,364	-	**2,364**
1100	Trade receivables	2,100	900	756	3,756	-	**3,756**
1150	Intercompany receivable	540	150	-	690	(690)	**-**
1200	Inventory	1,500	700	540	2,740	(50)	**2,690**
1500	Property, plant and equipment	6,000	2,500	1,944	10,444	-	**10,444**
1600	Investment in subsidiaries	3,580	-	-	3,580	(3,580)	**-**
1650	Investment in associates	1,500	-	-	1,500	339	**1,839**
1700	Goodwill	-	-	-	-	500	**500**
2000	Trade payables	(1,700)	(650)	(486)	(2,836)	-	**(2,836)**
2150	Intercompany payable	(150)	-	(540)	(690)	690	**-**
2500	Borrowings	(5,000)	(1,000)	(648)	(6,648)	-	**(6,648)**
3000	Share capital	(5,000)	(1,000)	(1,100)	(7,100)	2,100	**(5,000)**
3100	Retained earnings (opening)	(2,800)	(1,460)	(460)	(4,720)	1,069	**(3,651)**
3200	Translation reserve	-	-	31	31	(6)	**25**
3300	Non-controlling interests	-	-	-	-	(306)	**(306)**
4000	Revenue	(14,000)	(4,200)	(3,924)	(22,124)	-	**(22,124)**
4050	Intercompany revenue	-	(800)	-	(800)	800	**-**
4100	Dividend income from associates	(132)	-	-	(132)	132	**-**
4200	Share of profit of associates	-	-	-	-	(260)	**(260)**
5000	Cost of sales	7,600	3,000	2,398	12,998	62	**13,060**
5050	Intercompany purchases	800	-	-	800	(800)	**-**
6000	Operating expenses	3,100	950	872	4,922	-	**4,922**
7000	Interest expense	280	60	33	373	-	**373**
8000	Income tax expense	450	250	153	853	-	**853**
	Check (should be zero)	**-**	**-**	**-**	**-**	**-**	**-**

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Consolidation adjustments (debit +, credit -)

USD thousands

#	Description	Code	Account	Amount
1	Investment in Subsidiary One (US)	3000	Share capital	1,000
1	Investment in Subsidiary One (US)	3100	Retained earnings (opening)	1,200
1	Investment in Subsidiary One (US)	1700	Goodwill	500
1	Investment in Subsidiary One (US)	1600	Investment in subsidiaries	(2,700)
1	Investment in Subsidiary One (US)	3300	Non-controlling interests	-
2	Investment in Subsidiary Two (Germany)	3000	Share capital	1,100
2	Investment in Subsidiary Two (Germany)	3100	Retained earnings (opening)	-
2	Investment in Subsidiary Two (Germany)	1700	Goodwill	-
2	Investment in Subsidiary Two (Germany)	1600	Investment in subsidiaries	(880)
2	Investment in Subsidiary Two (Germany)	3300	Non-controlling interests	(220)
3	NCI share of Subsidiary Two (Germany) post-acquisition reserves	3100	Retained earnings (opening)	92
3	NCI share of Subsidiary Two (Germany) post-acquisition reserves	3300	Non-controlling interests	(92)
3	NCI share of Subsidiary Two (Germany) post-acquisition reserves	3200	Translation reserve	(6)
3	NCI share of Subsidiary Two (Germany) post-acquisition reserves	3300	Non-controlling interests	6
4	Intercompany balance: Parent owes Sub One for goods bought	2150	Intercompany payable	150
4	Intercompany balance: Parent owes Sub One for goods bought	1150	Intercompany receivable	(150)
5	Intercompany balance: Loan from Parent to Sub Two (EUR 500)	2150	Intercompany payable	540
5	Intercompany balance: Loan from Parent to Sub Two (EUR 500)	1150	Intercompany receivable	(540)
6	Intercompany sale: Goods sold by Sub One to Parent	4050	Intercompany revenue	800
6	Intercompany sale: Goods sold by Sub One to Parent	5050	Intercompany purchases	(800)
7	Unrealised profit in inventory: Parent still holds 200 of goods from Sub One; Sub One mar	5000	Cost of sales	50
7	Unrealised profit in inventory: Parent still holds 200 of goods from Sub One; Sub One mar	1200	Inventory	(50)
8	Associate One (UAE): share of post-acquisition reserves at 1 January	1650	Investment in associates	123
8	Associate One (UAE): share of post-acquisition reserves at 1 January	3100	Retained earnings (opening)	(123)
9	Associate One (UAE): share of profit for the year	1650	Investment in associates	180
9	Associate One (UAE): share of profit for the year	4200	Share of profit of associates	(180)
10	Associate One (UAE): dividends received reduce the investment	4100	Dividend income from associates	82
10	Associate One (UAE): dividends received reduce the investment	1650	Investment in associates	(82)
11	Associate One (UAE): share of unrealised profit on sales to the associate	5000	Cost of sales	12
11	Associate One (UAE): share of unrealised profit on sales to the associate	1650	Investment in associates	(12)
12	Associate Two (US): share of post-acquisition reserves at 1 January	1650	Investment in associates	100
12	Associate Two (US): share of post-acquisition reserves at 1 January	3100	Retained earnings (opening)	(100)
13	Associate Two (US): share of profit for the year	1650	Investment in associates	120
13	Associate Two (US): share of profit for the year	4200	Share of profit of associates	(120)
14	Associate Two (US): dividends received reduce the investment	4100	Dividend income from associates	50
14	Associate Two (US): dividends received reduce the investment	1650	Investment in associates	(50)
15	Associate Two (US): impairment of the investment	4200	Share of profit of associates	40
15	Associate Two (US): impairment of the investment	1650	Investment in associates	(40)
			Total (should be zero)	**-**

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Associates: equity method (IAS 28)

USD thousands

	ASSOC1	ASSOC2	Total
Name	Associate One (UAE)	Associate Two (US)	
Currency	AED	USD	
Ownership	30%	25%	
Cost of investment (USD)	900	600	**1,500**
Net assets at acquisition (local currency)	9,000	2,000	
Retained earnings at acquisition (local currency)	3,000	800	
Retained earnings at 1 January 2025 (local currency)	4,500	1,200	
Profit for the year (local currency)	2,200	480	
Dividends paid by the associate (local currency)	1,000	200	
Impairment loss from IAS 36 test (USD)	-	40	**40**
Historical rate	0.2723	1.0000	
Average rate	0.2723	1.0000	
Closing rate	0.2723	1.0000	
Equity method (USD)			
Group share of net assets at acquisition	735	500	**1,235**
Goodwill included in the investment (cost less share of net assets)	165	100	**265**
Cost of investment	900	600	**1,500**
Share of post-acquisition retained earnings to 1 January	123	100	**223**
Carrying amount at 1 January 2025	**1,023**	**700**	**1,723**
Share of profit for the year	180	120	**300**
Dividends received (reduce the investment)	(82)	(50)	**(132)**
Impairment loss	-	(40)	**(40)**
Group share of unrealised profit on sales to the associate (downstream)	(12)	-	**(12)**
Carrying amount at 31 December 2025	**1,109**	**730**	**1,839**
Reconciliation to the associate's net assets (IFRS 12)			
Associate's net assets at 31 December (local currency)	11,700	2,680	
Group share at closing rate	956	670	**1,626**
Goodwill	165	100	**265**
Impairment loss	-	(40)	**(40)**
Unrealised profit (downstream)	(12)	-	**(12)**
Exchange difference (zero for USD and the pegged AED)	-	-	**-**
Carrying amount at 31 December 2025	**1,109**	**730**	**1,839**
Memo: share of upstream unrealised profit (reduces group inventory)	-	-	**-**

The group does not combine an associate line by line. It carries one investment line, measured at cost plus its share of post-acquisition profits, less dividends, impairment and its share of unrealised profit. Balances with associates are not eliminated, because associates are outside the group.

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Translation into USD

USD thousands

Code	Account	PARENT local	PARENT rate	PARENT USD	SUB1 local	SUB1 rate	SUB1 USD	SUB2 local	SUB2 rate	SUB2 USD
1000	Cash	1,332	1.0000	1,332	600	1.0000	600	400	1.0800	432
1100	Trade receivables	2,100	1.0000	2,100	900	1.0000	900	700	1.0800	756
1150	Intercompany receivable	540	1.0000	540	150	1.0000	150	-	1.0800	-
1200	Inventory	1,500	1.0000	1,500	700	1.0000	700	500	1.0800	540
1500	Property, plant and equipment	6,000	1.0000	6,000	2,500	1.0000	2,500	1,800	1.0800	1,944
1600	Investment in subsidiaries	3,580	1.0000	3,580	-	1.0000	-	-	1.0800	-
1650	Investment in associates	1,500	1.0000	1,500	-	1.0000	-	-	1.0800	-
2000	Trade payables	(1,700)	1.0000	(1,700)	(650)	1.0000	(650)	(450)	1.0800	(486)
2150	Intercompany payable	(150)	1.0000	(150)	-	1.0000	-	(500)	1.0800	(540)
2500	Borrowings	(5,000)	1.0000	(5,000)	(1,000)	1.0000	(1,000)	(600)	1.0800	(648)
3000	Share capital	(5,000)	1.0000	(5,000)	(1,000)	1.0000	(1,000)	(1,000)	1.1000	(1,100)
3100	Retained earnings (opening)	(2,800)	1.0000	(2,800)	(1,460)	1.0000	(1,460)	(420)	1.0952	(460)
4000	Revenue	(14,000)	1.0000	(14,000)	(4,200)	1.0000	(4,200)	(3,600)	1.0900	(3,924)
4050	Intercompany revenue	-	1.0000	-	(800)	1.0000	(800)	-	1.0900	-
4100	Dividend income from associates	(132)	1.0000	(132)	-	1.0000	-	-	1.0900	-
5000	Cost of sales	7,600	1.0000	7,600	3,000	1.0000	3,000	2,200	1.0900	2,398
5050	Intercompany purchases	800	1.0000	800	-	1.0000	-	-	1.0900	-
6000	Operating expenses	3,100	1.0000	3,100	950	1.0000	950	800	1.0900	872
7000	Interest expense	280	1.0000	280	60	1.0000	60	30	1.0900	33
8000	Income tax expense	450	1.0000	450	250	1.0000	250	140	1.0900	153
3200	Translation reserve			**-**			**-**			**31**

Assets and liabilities at closing rate, income and expenses at average rate, share capital at historical rate, opening retained earnings at the USD amount carried forward. The translation reserve balances the translated trial balance.

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Entity trial balances in local currency (debit +, credit -)

thousands of local currency

Code	Account	Type	PARENT (USD)	SUB1 (USD)	SUB2 (EUR)
1000	Cash	A	1,332	600	400
1100	Trade receivables	A	2,100	900	700
1150	Intercompany receivable	A	540	150	-
1200	Inventory	A	1,500	700	500
1500	Property, plant and equipment	A	6,000	2,500	1,800
1600	Investment in subsidiaries	A	3,580	-	-
1650	Investment in associates	A	1,500	-	-
2000	Trade payables	L	(1,700)	(650)	(450)
2150	Intercompany payable	L	(150)	-	(500)
2500	Borrowings	L	(5,000)	(1,000)	(600)
3000	Share capital	E	(5,000)	(1,000)	(1,000)
3100	Retained earnings (opening)	E	(2,800)	(1,460)	(420)
4000	Revenue	I	(14,000)	(4,200)	(3,600)
4050	Intercompany revenue	I	-	(800)	-
4100	Dividend income from associates	I	(132)	-	-
5000	Cost of sales	X	7,600	3,000	2,200
5050	Intercompany purchases	X	800	-	-
6000	Operating expenses	X	3,100	950	800
7000	Interest expense	X	280	60	30
8000	Income tax expense	X	450	250	140
	Check (should be zero)		**-**	**-**	**-**

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Group structure, exchange rates and intercompany data

USD thousands

Entity	Name	Currency	Ownership	Investment cost	Pre-acq. retained earnings	Opening RE (USD)
PARENT	Parent Co.	USD	100%	-	-	
SUB1	Subsidiary One (US)	USD	100%	2,700	1,200	
SUB2	Subsidiary Two (Germany)	EUR	80%	880	-	460

Currency	Closing	Average	Historical
USD	1.0000	1.0000	1.0000
EUR	1.0800	1.0900	1.1000
AED	0.2723	0.2723	0.2723

Type	Description	From	To	Amount (USD)
balance	Parent owes Sub One for goods bought	SUB1	PARENT	150
balance	Loan from Parent to Sub Two (EUR 500)	PARENT	SUB2	540
sale	Goods sold by Sub One to Parent	SUB1	PARENT	800
unrealised_p	Parent still holds 200 of goods from Sub One; Sub One m	SUB1	PARENT	50
associate_u	Parent sold goods to Associate One at a 25% margin; 16(	PARENT	ASSOC1	40

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Checks (all should be zero)
USD thousands

Entity trial balances balance	-
Elimination journal balances	-
Consolidation worksheet balances	-
Intercompany receivables and payables fully eliminated	-
Intercompany sales and purchases fully eliminated	-
Investment in subsidiaries fully eliminated	-
Dividends from associates fully eliminated	-
Investments in associates agree to the equity method schedule	-
Associates reconcile to share of net assets	-
Balance sheet balances	-

All checks pass?	**OK**